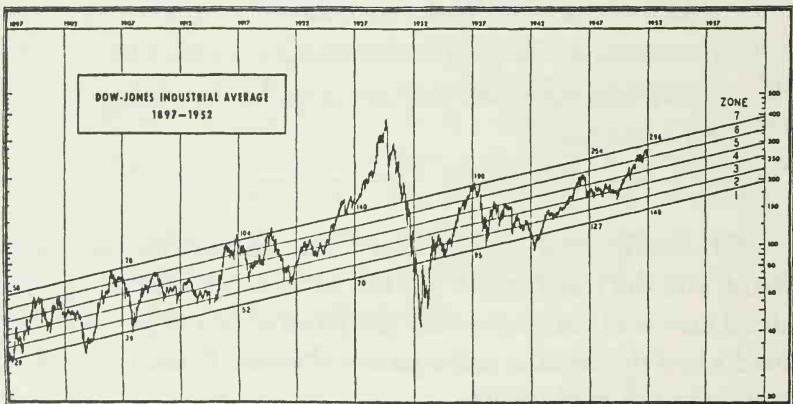


violations of this band occurred in the late 1920's—and then in the early 1930's. Within the band, however, major market moves had occurred frequently, and it seemed logical to assume that, the further up or down the market moved within the band, the greater the probability was that the direction of movement would change. With the known difficulties of "buying low and selling high," it seemed sensible to reduce common stock positions as prices rose and increase them as prices fell. The next step was to divide the long-term band into "zones" that would operate so as to change the equity ratio gradually to a fully invested position by the time stocks had fallen to the bottom limits of the band, and to reduce a portfolio to negligible stock holdings by the time stocks hit the upper limits.



Some critics called this idea a compromise, because it was admitting that investors couldn't discern market bottoms and tops and was a substitution of a mechanical tool for sound judgment. As it turned out, that wasn't the important point. Rather, the fatal assumption was that the long-term band within which stock prices had been confined most of the time for 40 years was something more than historical accident. As can be seen from Chart II, the National Formula Plan had portfolios down to 25% in stocks by 1951, only two years into what was ultimately to be a 20-year bull